Target | Edition A

Decision and initial view

Provisional action: watch/defer. The proposed user is a buy-side team with no current position in Target common stock (NYSE: TGT), using USD, an October 19, 2026 valuation date, and a proposed 12-24 month decision horizon. The working hypothesis is that recurring operating performance can recover modestly, while capital spending and competition limit the cash-flow benefit. No completed valuation range or price advantage has been established.

Reported evidence anchors

2025 financial history	Fiscal year ended January 31, 2026: net sales $104.780bn; adjusted operating margin 4.6%; total cash-flow-statement D&A $3.134bn; capex $3.727bn. [S1]
2026 update	Q2 sales growth was 5.3%. August 19 guidance indicated full-year sales growth around 5% and operating margin around 6%, including about 90bp of tariff-refund benefit. [S2]
Normalization issue	The Q2 release includes a $994m pretax tariff refund. Treat a repeat of that benefit as unproven, rather than building it into recurring margins. [S2]

Proposed assumptions | forecasts, not reported facts

Driver	FY2026	FY2027	FY2028	FY2029	FY2030
Net sales growth	4.0%	3.0%	3.0%	2.5%	2.5%
Recurring EBIT margin	5.0%	5.2%	5.4%	5.5%	5.5%
Capex / sales	4.5%	4.5%	4.0%	4.0%	3.75%
Total D&A / sales	3.0%	3.0%	3.0%	3.0%	3.0%
Operating tax rate	24.0%	24.0%	24.0%	24.0%	24.0%

Additional provisional inputs: WACC 9.0%; terminal growth 2.0%; inventory 61 days and trade payables 62 days of annual cost of sales, held constant initially. Other operating working-capital balances must be modeled separately. WACC and terminal growth are starting assumptions, not sourced estimates or validated control bounds.

FY labels follow Target's fiscal years. FY2026 is a current-year estimate, not five full future years from October 19. The completed DCF must handle the remaining current-year cash flow, elapsed periods, and discount timing explicitly. Terminal reinvestment and the D&A assumption must later reconcile to the fixed-asset schedule.

Model results, a final fair-value range, and completed validation are not asserted by this baseline.

What would change this view?

Basis, challenges, planned evidence, and decision conditions

Value / driver	Basis and challenge	Evidence that would change it
Sales: 4.0%, then 2.5%-3.0%	Allow for growth fading after the initial recovery. The first-year estimate is below management's update; that is a cautious draft judgment, not a sourced forecast.	Revise for sustained comparable-sales changes, new guidance, or evidence on store and non-merchandise growth. Do not count the same growth twice.
Margin: 5.0% to 5.5%	Assume gradual recurring improvement, not a permanent one-time refund boost. Recovery could fail if promotions or fulfillment costs rise.	Revise if reconciled recurring margin, markdowns, or cost guidance contradict the path. Preserve the reported-to-normalized bridge.
Capex: 4.5% to 3.75%; D&A 3.0%	Use an initial investment phase followed by some moderation. D&A is only an approximation until asset schedules are built.	Revise for verified capital plans, asset lives, or a PP&E roll-forward that does not support these ratios. No assumed cash benefit without the required investment.
Inventory 61 / payables 62 days	A starting turnover convention near the annual-history scale; not a claim that seasonal balances or supplier terms are constant.	Revise using verified averages, seasonal patterns, markdown risk, and supplier terms. Include other operating balances; exclude financing cash/debt.
Tax 24%; WACC 9%; terminal g 2%	Rounded placeholders for an initial view. They are not a completed tax study, cost-of-capital calculation, or terminal reinvestment model.	Replace or retain only after dated tax/risk/debt/equity evidence, sensitivity analysis, and sustainable-growth checks. Keep WACC above terminal growth.

Research and model plan

Build five-year articulated statements and derive FCFF from them; estimate WACC and a sustainable terminal period; complete the cash/debt/other-claims bridge and diluted share definition. Freeze a peer policy before selecting peers, then compare at least one enterprise and one equity multiple. Explain disagreement across methods. Test causal low/base/high cases, WACC-growth sensitivity, reverse DCF, and one-at-a-time operating sensitivities using alternative justified ranges. No scenario values have been calculated in this baseline.

Validation plan

Planned checks: reconcile reported and normalized base-year figures; test yearly balance-sheet and cash articulation, the equity bridge, DCF boundaries, and multiple definitions; reconcile a course known-answer case; independently check a material source; preserve a highest-risk failure test and clean-environment run. Complete the separate protected changed-input record under its AI-off rules. These are planned checks, not completed results.

Monitoring and action conditions

Proposed review triggers: reconsider growth after two consecutive reports with non-positive year-on-year comparable sales; reconsider margin if updated recurring margin guidance falls below 5.0%; defer any action while source, accounting, or equity-bridge checks remain unresolved. An initiation proposal requires a validated range, verified market price, and an explicitly justified entry condition.

Evolution record

This draft was set without a supplied completed Target model. Freeze it after student review and compare it with subsequent evidence; allow agreement or disagreement. Do not change it later to manufacture an A-to-B gap. The original checkpoint page was not supplied, so this document does not certify acceptance under that page or establish a Brightspace receipt.

Sources

S1. Target FY2025 Form 10-K (SEC). Year ended January 31, 2026; printed pp. 29, 32-33, 48. **S2.** Target Q2 2026 earnings release. Published August 19, 2026; Guidance, Operating Results, tariff-refund note. Both accessed October 19, 2026.